

B.COM SEM-V

SUBJECT:

INDIAN MARKETING MANAGEMENT PRACTICES

UNIT-1

Traditional and Ruralmarketing in India

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Indian Marketing Management Practices

UNIT-1 : RURAL MARKETING IN INDIA

Meaning of Traditional Marketing

Traditional marketing in India encompasses established promotional methods like print ads, TV commercials, radio spots, and billboards, aimed at reaching a broad audience.

It's a **one- way communication model** where businesses broadcast their message to potential customers without **immediate feedback** .

In India, it's a dominant medium, with many companies allocating significant budgets to traditional campaigns

Traditional marketing refers to the conventional marketing and advertising methods that were widely used before digital platforms.

It involves using **physical media** and **direct methods to promote products and services.**

Traditional marketing revolves around the strategies and techniques before digital platforms become dominant.

Historically, these methods, including various forms of media and direct engagement strategies, were the primary means of reaching consumers.

TRADITIONAL MARKETING



TV & RADIO



BILLBOARD ADS



COLD CALLING



TRADE SHOW



NEWSPAPER



PRINT ADS



DIRECT MAIL



BRANDING

Traditional Marketing Channels

Traditional marketing channels encompass various methods used to reach audiences before the digital age:

Print Media: Includes newspapers, magazines, brochures, and flyers. These materials provide a tangible way to engage with potential customers and are often used for local.

The characteristics of traditional marketing are:

1. Offline Channels
2. Less Segmentation
3. Strong Relationships
4. Better Value
5. More Credible
6. Captures a Larger Audience
7. Brand Recognition

TRADITIONAL MARKETING



VS



DIGITAL MARKETING

Traditional Marketing vs Digital Marketing (Modern Marketing)

Aspect	Traditional Marketing	Digital Marketing
Definition	Uses offline methods like newspapers, TV, radio, and billboards to promote products and services.	Uses online platforms like websites, social media, emails, and search engines to reach customers.
Mediums Used	Newspapers, magazines, flyers, TV, radio, and billboards.	Websites, social media, email, Google Ads, and blogs.
Audience Targeting	Targets a wide audience but lacks precision. A newspaper ad is seen by everyone, even if they are not interested.	Targets specific groups based on interests, age, location, and behavior. Facebook Ads allow businesses to reach the right audience.

Traditional Marketing vs Digital Marketing (Modern Marketing)

Aspect	Traditional Marketing	Digital Marketing
Cost	Expensive, as TV commercials and newspaper ads require high investment.	Cost-effective, as businesses can run online ads with small budgets and increase spending based on performance.
Engagement	One-way communication. Customers see ads but cannot interact with the brand.	Two-way communication. Customers can comment, share, or ask questions in real time.
Measurability	Difficult to track results. It's hard to know how many people saw a newspaper ad and made a purchase.	Easy to measure results using tools like Google Analytics, which tracks clicks, views, and conversions.

Traditional Marketing vs Digital Marketing (Modern Marketing)

Aspect	Traditional Marketing	Digital Marketing
Flexibility	Once printed or aired, ads cannot be changed. A wrong price in a newspaper ad stays until the next edition.	Ads and content can be edited anytime. Facebook or Google Ads can be modified instantly.
Reach	Limited to local or national audiences. A TV ad in India will not be seen globally.	Can reach a global audience. A small business in India can sell products worldwide using digital ads.
Conversion Tracking	Hard to measure how many people bought after seeing an ad.	Easy to track website visits, product purchases, and ad clicks.

Meaning & Significance of Rural Marketing in India

Meaning of Rural Marketing

- ✓ Rural marketing means creating demand for goods and services in rural areas.
- ✓ It is a *cluster of activities* to deliver products from manufacturers to rural customers.
- ✓ Important because 65% of India's population lives in villages (as per your book ~6.49 lakh villages).
- ✓ Rural marketing is growing as companies see huge potential.

Significance of Rural Marketing

- ✓ Large population in villages → big market potential.
- ✓ Opportunity for companies due to vast, untapped demand.
- ✓ Helps in rural development by improving income, lifestyle, and infrastructure.

Significance of Rural Marketing in India

- (1) Change in rural life style
 - (2) Rural electricity
 - (3) Increase in literacy
 - (4) Rural areas close to urban areas
 - (5) Availability of electricity
 - (6) The role of effective group
 - (7) The influence of family youth
 - (8) The influence of educated daughter and daughter in law
 - (9) Location of shopping
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1 **Change in rural lifestyle**

- Demand for modern life.
- Use of branded products.
- Urban influence via TV/media.

2 **Rural electricity**

- Over 86% villages electrified.
- Increased demand for electrical goods (TV, Fridge, Fan).
- Boosts storage, cold chain, and sales of products.

3 **Increase in literacy**

- Literacy rate rising 5–7% annually.
- Govt programs: *Girls Education* ,
Education without Stress .
- Literate consumers understand products better.

4 **Rural areas close to urban areas**

- Urban contact changes rural lifestyle.
- Spread of modern ideas and branded goods.

5 Availability of electricity

Enables use of consumer goods.

Drives demand for electronic products.

6 Role of effective group

Peer influence on buying decisions.

Friends, relatives, social groups shape preferences.

7 Influence of family youth

Young people influence entire family's buying.

More exposure to media, education.

8 Influence of educated daughters and daughters-in-law

Educated women introduce new brands/products.

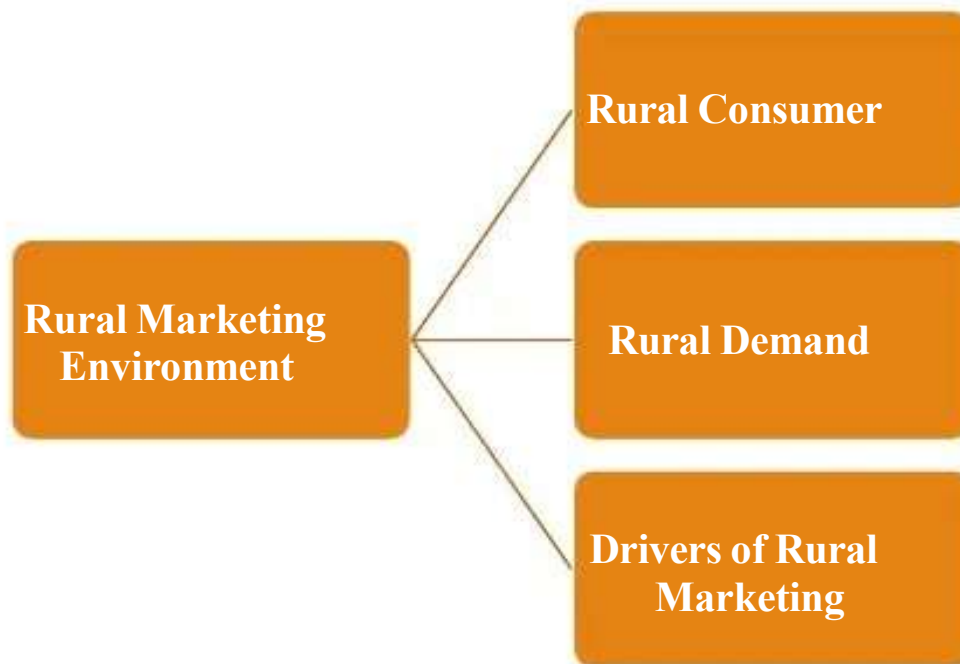
Urban upbringing changes tastes in rural homes.

9 Location of shopping

Haats, fairs, nearby cities.

Diverse buying habits → marketing strategies adapt.

Rural Marketing Environment



Rural Marketing Environment



A. Rural Consumer

All customers are not alike in India's rural market. Variation is seen among consumers due to variety of cultural, religion, social customs, economic condition, education system and geographical area. In comparison to urban consumers, rural consumers have following

Characteristics:

(1) Scattered lot living in villages

- Urban population reside in 3200 mega cities, cities and talukas. While the rural population reside in about 6.4 lacs villages.
- In many villages the population of rural people is less than 200 people. In 61.4% villages the population is of less than 1000 and only in 3.2% villages the population is more than 5000 people.
- In 20% villages the population is between 1000 to 5000 people.
- According to Mc Kinsey, 15% rural population is of more than 1000 to 5000 people. 63% population reside in big villages of 1000 to 5000 population.
- The demand of rural population is unequal and scattered.

(2) Heterogeneous in rural consumer

- One Indian consumer is different from other. Their demands vary from person to person. Diversity of demand is seen among them.
- Specially rural consumers' demands vary. The only reason behind various demands is cultural and social factor, as well as the nature of villages, structure and economical characteristics.
- 17% of the total villagers where 50% of the population reside contribute 60% in village wealth.
- The services of shop or store are available in these villages. The stores include grocery stores, pan parlour, grinding machines, barber and tailor's shop, cycle repair etc.
- In 37% villages the service of shops or stores is partially available or not available at all.
- India's rural market is quite big in size where contradiction is seen.

(3) Mixed picture of Income and Socio Economic position

- Low per capita income, low purchasing power, low consumable income are the characteristics of rural consumer.
- Rural consumers present a picture of socio economic position.
- In the rural area more than 50% people's income, per capita income purchasing power of people is very low while prosperous people purchase very costly and branded products.
- They buy plasma T.V. worth more than 2 lacs rupees. SUV car worth about India 50% rich and prosperous people live in the villages.
- The purchasing power of middle income person is the same as that of urban class.
- The 41% of middle class of the country reside in the villages.
- Rural people have adopted the urban style in purchase except the agriculture instruments.
- Means they too purchase branded products of necessity and luxury. They purchase the products with brand name.

□ 20 lacs. In

(4) Classification on the base of Age

- Among rural consumers 48% of the people are between 20 to 35 years of age.
- Another 25% are of 5 to 14 years of age.
- Almost 48% people are below 20 years of age.

(5) Variation in Economic position and based on religion and state

- They are different due to income of consumer vary according to region, area and state.
- In context of rural India there are ‘developed’ and ‘partially developed’ states.
- 1/3 portion of Indian population reside in the developed states like Punjab, Haryana, Maharashtra, Goa, Kerala, Tamil Nadu.
- The remaining 2/3 population reside in “partially developed” states.
- The farmer of Punjab is more progressive compared to the farmer of Rajasthan.
- The farmers of Kerala are more educated than the farmers of Bihar.

(6) People engaged in other than agriculture

- In the rural area 1/3 people have to depend on the businesses other than agriculture.
- In the earlier days rural people were not at all engaged in other business than agriculture. There was no other work than farming.
- They were classified in census as Big farmers, small farmers and farm labourers.
- The picture was changed now. According to the information of NSS more than 35% families are engaged in the activities other than agriculture, such as business, etc.

(7) Diversification in Rural Economy

- The contribution of agriculture is reducing gradually in rural economy.
- In 2000 –01 in gross rural national wealth the contribution of agriculture was 43%, then onwards it decreased. In 1993 it was as high as 54%.
- Good amount is invested for the improvement of rural infrastructure.
- People have turned from agriculture-based employment to other sectors.
- *Bharat Nirman* programme provides for internal rural infrastructure. Investment and development of infrastructure includes roads, water facility, electricity, primary health, and information technology.

(8) New Source of Rural Income

- The use of technology in agriculture is known as **‘Green Revolution’**.
- It was started from 1960. As a result there is notable increase in the income of rural people.
- Through recently formed agriculture policy, agriculture produce are given attractive supporting price.
- As a result in the rural sector, there is an increase in the income of farmers.
- In the same way **‘Operation Flood’** and **‘White Revolution’** came into existence. India became much popular in the world regarding milk and by-products of milk.
- Then emerged **‘Blue Revolution’**. Fishing industry developed in India. India’s number was second in the world producing fish. India became fish producing country.

(9) Heterogeneity in Literacy Rate

Literacy rate of rural people draw attention on two things:

(a) **In rural India Large numbers of people are literate:**

- In 2011 the literacy rate in India is 55%.
- In the rural area the literacy rate is 28%.
- This rate is low in compare to the population, but from the point of view of number it is large.
- The picture is seen in the recent years – Before 10 years rural literacy rate was 20%.
- According to Indian Readership Survey from 2000 to 2005 including women's literacy rate there is increase in literacy rate by 5 to 7%.

(b) **Diversification in literacy rate:**

- Diversification is seen in India in literacy rate.
- In Kerala the literacy rate is 80%, in Gujarat 70% and in Bihar only 55%.
- Literacy rate is variable in each district.

(10) Heterogeneity in Attitude and Lifestyle

The following conclusions are derived regarding attitude and life style of rural consumers.

-  **(a) The attitude of rural consumer changes as the time passes.**
-  **(b) Rural consumers are not of the same one type.**

Rural consumers are bound by social customs.

Their life style, habits, purchase of consumable products are influenced by religious concept, caste, religion, colour and culture.

Rural consumer is prudent, he spends after much thinking. Moral looking matters may look different for rural people.

-  The following factors are responsible for bringing change in the life style of rural consumer:
 - Growth in consumable income.
 - Increase in level of education.
 - Development of information

Rural Marketing Environment



B. Rural Demand

M.C. Kinsey's key questions reflecting demand analysis:

1. Which products will rural consumers buy?
2. What is today's consumption pattern?
3. Expected consumption size by 2025?
4. Current rural market size?
5. Changes in types and volume of consumables?
6. Rural income levels and sources by 2025?
7. How will increased income be spent?

Rural Marketing Environment

B. Rural Demand

1. Increasing demand and size of rural marketing
2. Larger than urban
3. Change in consumable product
4. Sale of some durable products in rural market
5. Large rural market but low entry rate
6. In some products the number of rural consumers are more
7. Demand according to consumption of product

1. Increasing demand and size of rural marketing

- Rural consumption has risen significantly.
- In 2005, rural consumption was ₹16,701 billion and projected to reach ₹67,208 billion in 2025.
- Consumption per family and total consumption are increasing due to growth in income and spending.
- Rural families spend more on domestic consumable items over time.
- Indicates a huge opportunity for marketers.

2. Larger than urban

- The rural population is larger than urban.
- Per capita income is lower, but total market size is bigger.
- Demand exists for products like tea, detergent, blades, soap, shampoo, toothpaste.
- Rural market is growing faster than urban in many FMCG categories.
- Companies see rural areas as vital for expansion.

3. Change in consumable product

- Rural consumption patterns have evolved.
- New products have been accepted in daily life.
- Rural consumers are adopting branded and diversified products.
- FMCG companies (HUL, Godrej, Colgate) and sectors like telecom, automotive, electronics have entered rural markets.
- Greater brand awareness among rural consumers.

4. Sale of some durable products in rural market

- Rural markets are purchasing more durable goods.
- Examples include FMCG-branded products and consumer durables.
- 35% of total durable products are sold in rural India.
- Value of this rural durable goods market is over □1,000 crore.
- Rural consumers now seek quality, branded products.

 5. Large rural market but low entry rate

- The market is huge but challenging to enter.
- Low per capita income, high distances between villages.
- Poor infrastructure: transport, physical facilities, electricity.
- Low literacy rates and communication issues.
- These factors increase costs and risks for companies entering rural markets.

 6. In some products the number of rural consumers are more

- Rural share is high in specific product categories.
- Examples: detergent powder (60%), hair oil (more than 50%).
- Durable items like radios, DVD players, TVs, cycles, motorcycles have large rural markets.
- Rural India accounts for 65% of new TV sales and 40% of telecom sector income by 2025.
- Huge potential for companies in these sectors.

 7. Demand according to consumption of product

- Rural consumption patterns are unique and shaped by lifestyle.
- Cooking methods differ (need for detergent that dissolves in pond water).
- Demand for sturdy, practical items (pressure cookers, four-wheelers suited for rough terrain).
- Companies must adapt products to rural needs.
- Examples include Mahindra utility vehicles, TVS, Bullet, Rajdoot motorcycles.

Rural Marketing Environment

C. Drivers of Rural Marketing

1. Increasing Opportunity of marketing in rural market

- Rural consumption is rising fast.
- Companies see huge market potential with less competition.

2. Less Competition, More development Opportunity

- Urban markets are saturated.
- Rural areas offer “first -mover” advantages with essential commodities.

3. Development of Rural Infrastructure

- Govt. schemes like *Bharat Nirman* improve roads, power, water.
- Better transport boosts distribution and access.

4. Information Technology & Communication

- Rural consumers better informed via TV, mobile, internet.
- Awareness of branded products growing.

5. Increasing Consumption Patterns

- Demand for FMCG, durable goods, branded items.
- Adoption of urban buying habits.

6. Product suitability (e.g. detergent for pond washing).

7. Family elders' influence.

8. Impact of urban contact, education, media.

9. Variation in electricity availability (affecting battery use).

Challenges And Solutions in Delivering Values in Rural Market

(a) Heterogeneity of Market

- Rural consumers differ in habits, tastes, culture
- Difficult to design uniform marketing strategies

(b) Transportation Cost

- Poor transport network in villages
- Increases cost and reduces delivery efficiency

(c) Dispersed Market

- Over 6.38 lakh villages in India
- Average population density only 150 per sq. km.
- High distribution cost due to spread

(d) Seasonal and Irregular Demand

- Demand linked to harvest seasons
- Festivals, seasons cause demand variation

(e) Economic Backwardness

- Low per capita income
- Low purchasing power reduces demand

(f) Inadequate Infrastructure Facility

Villages lack roads, storage, electricity

Makes distribution and marketing difficult

(g) Less Knowledge of Technology

Rural people use traditional methods

Low awareness of new products and technologies

(h) Inequality of Income

Majority dependent on agriculture

Uneven land ownership causes income disparity

(i) Less Created Stockists

Fewer stockists in rural areas

Limited availability and reach of products

(j) Problem of Communication

Low literacy levels

Poor media reach hinders advertising and awareness



Delivering Goods in Rural Market

Solutions

(a) Segmentation of Rural Market

- Divide rural market based on population, income, taste
- Targeted strategies improve reach

(b) Physical Distribution System

- Develop effective channels
- Ensure timely supply, better storage and transport facilities

(c) Infrastructure Facility

- Invest in roads, electricity, storage
- Improves access and reduces costs

(d) Creation of Stockists

- Increase number of local stockists
- Wider product availability

(e) Promotion Strategy

- Adapt ads to rural culture and language
- Use traditional and modern media effectively

(f) Strategy of Distribution

- Use super-stockists, sub-stockists
- Strengthen last-mile delivery

(g) Use of Technology

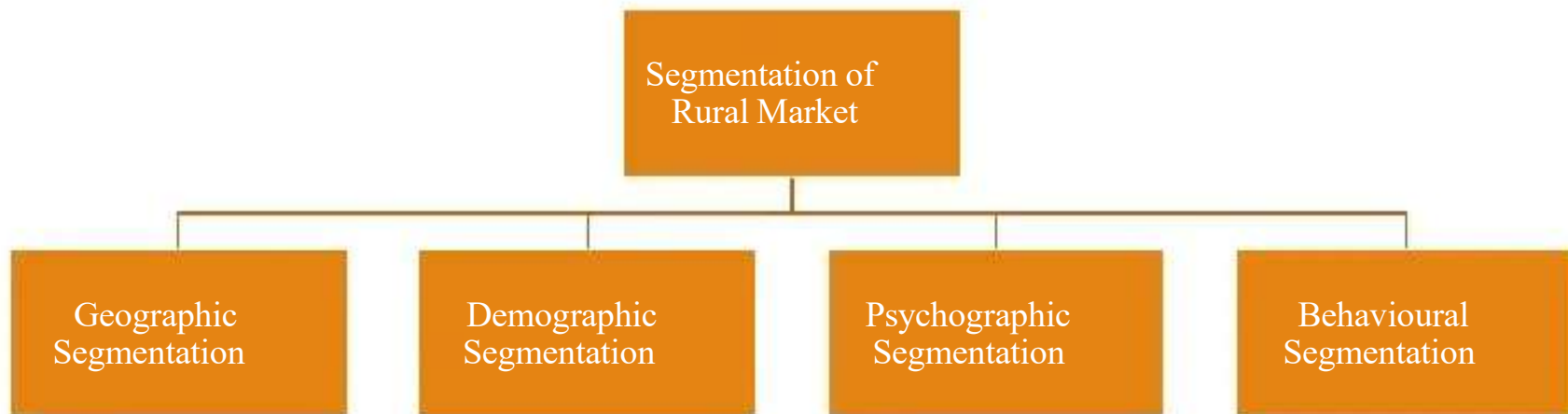
- Educate rural consumers
- Introduce modern techniques and products

(h) Strategy of Communication

- Improve literacy and awareness
- Use mobile phones, radio, folk media

Segmentation of Rural Market

Rural markets are diverse and cannot be treated as a single unit. Segmentation is dividing this large market into smaller groups based on specific characteristics. This helps marketers design better strategies for product, price, promotion, and place to meet rural needs effectively.



Geographic Segmentation

Divides markets by regions, states, districts, climate, or proximity to cities.

- **Markets close to city** : Better infrastructure, easy access.
- **On the basis of climate** : Different consumption patterns in hot, cold, or rainy regions.
- **Local market :** Easy to sale products
- **Regional Market :** Products can sale at various state
- **National Market :** Whole Country

Demographic Segmentation

Divides markets based on population features such as:

- **Spread of population** : 75% of India's population is rural.
- **Age** : Needs differ for children, youth, old.
- **Income of the customer** : Regular vs seasonal income groups have different buying habits.
- **Socio Economic Classification:** Percentage of people living in rural area and their economic status.
- **Gender** : Products may target men, women, or both.
- **Size of the family** : Joint families buy in bulk; nuclear families buy small packs.
- **Life cycle of family** : Newly married vs mature families have different needs.
- **Business or profession** : Farmers, traders, professionals have specific demands.
- **Education** : Education level influences awareness and choices .
- **Religion and Customs:** Cloths , food habits, festivals celebrations are different.

Psychographic Segmentation

Social status : Upper, middle, lower classes with different buying capacities.
Divides the market based on lifestyle, personality, values, social class.

Life Style : Simple life, orthodox life, modern life

Personality : Orthodox vs modern, brand-conscious vs price-conscious

Behavioural Segmentation

- **Occasion and Festivals :** Demand rises during festivals and after harvests when people have money. Buying patterns depend on seasonal income flow.
- **Size of the Packing :** Rural consumers prefer small, low-cost packs. Reusable packaging is popular (e.g., tea pouches, small soap/shampoo packs).
- **Sale on Credit and Instalments** : Income is seasonal, so people prefer durable goods bought on credit or instalments to spread payments over time.
- **Loyalty towards Company:** Customers trust well-known companies. Popular brands have an easier time selling new products in rural markets.
- **Loyalty towards Product:** Once satisfied with a product, rural customers rarely switch brands (e.g., Colgate toothpaste, Nirma powder, Lux soap).
- **Loyalty for Location:** Consumers prefer buying region-specific or famous local products (e.g., Nagpur oranges, Morbi watches).
- **Consumption Rate :** Consumption varies: some people buy in bulk or use products daily; others use them occasionally.
- **Status of Consumer** Consumers can be new, regular, past, or future buyers. Marketing targets these groups differently.
- **Benefit of the Product** Purchase depends on perceived benefits like cleaning power,

Behavioural Segmentation

- **Consumption Rate:** Consumption varies: some people buy in bulk or use products daily; others use them occasionally.
- **Status of Consumer:** Consumers can be new, regular, past, or future buyers. Marketing targets these groups differently.
- **Benefit of the Product:** Purchase depends on perceived benefits like cleaning power, freshness, or savings (e.g., Lifebuoy soap, Ganga soap).
- **Readiness of Purchase:** How ready customers are to buy is key. Advertising and education can turn hesitant buyers into actual customers.
- **Supply of Product:** Market strategy changes based on availability. Surplus leads to promotions; scarcity can increase prices.
- **Attitudes:** Customers have varied attitudes (positive, negative, indifferent). Marketing must adapt to their expectations and emotions.

product and pricing strategy

PART 1: Product Strategy in Rural Marketing

Rural product strategy focuses on making the product **acceptable** and **utilitarian**. Rural consumers do not look for "frills" or luxury additions; they look for core value and functionality.

1. Small Unit Packaging (The Sachet Revolution)

Concept: Rural consumers often earn daily wages or have irregular income. They cannot afford to spend a large amount at one time on standard family-sized packs.

Strategy: Introduce low-unit packs (LUPs) or sachets priced at ₹1, ₹2, ₹5, or ₹10.

Real-world Example: **Chik Shampoo** and **CavinKare** pioneered the sachet revolution in South India, which was later adopted by giants like **Hindustan Unilever (HUL)** for Sunsilk and Lifebuoy.

2. Product Sturdiness and Durability

Concept: The rural lifestyle involves rough handling, unpredictable weather, and lack of storage facilities like refrigerators. Products must be tough and long-lasting.

Strategy: Re-engineer products to be physically robust.

Real-world Example: Nokia 1100 became an iconic rural success because it was physically durable, had a long battery life (crucial due to frequent power cuts), and featured a built-in flashlight.

3. Product Customization (Tailoring to Local Needs)

Concept: Rural utility requirements are different from urban ones.

Strategy: Modify the utility or design of the product to solve a specific rural problem.

Real-world Example: Godrej ChotuKool—a low-cost, top-opening small cooling solution that runs on a 12V battery, designed specifically for rural homes without constant electricity. Another example is **Mahindra** designing tractors with haulage capabilities for both farming and transporting goods.

4. Branding and Visual Identity (Simplified Recall)

Concept: Literacy rates may vary in deep rural pockets, meaning consumers often remember products through colors, symbols, numbers, or logos rather than reading the brand name.

Strategy: Use bright, vibrant colors (red, yellow, green) and easily identifiable symbols.

Real-world Example: Rural consumers often ask for "*Lal Sabun*" (Red Soap for Lifebuoy) or look for the symbol of a washing hands/shield. **Eveready** used the "Red Cat" logo for easy recall on its batteries.

5. Protective and Functional Packaging

Concept: The distribution chain to villages involves bumpy roads and high humidity. Packaging must protect the product from spoiling without drastically increasing costs.

Strategy: Use moisture-resistant plastic or reinforced boxes. Also, introduce **refill packs** so consumers can reuse old plastic bottles or tins.

PART 2: Pricing Strategy in Rural Marketing

Price dictates demand heavily in rural areas. However, rural consumers are not just looking for "cheap" products—they are highly value-conscious and seek "**Value for Money**".

1. Penetration Pricing (Low Initial Price)

Concept: To break into a highly competitive market dominated by unorganized local players, companies introduce products at a very narrow profit margin.

Strategy: Keep prices low initially to encourage trial, gain market share, and build high volume.

Real-world Example: **Ghari Detergent** entered the rural market with a much lower price point than HUL's Surf Excel or Wheel, capturing massive market share through high-volume sales.

2. Psychological / Magic Price Points

Concept: Rural consumers prefer transacting in single, exact coins or notes (₹1, ₹2, ₹5, ₹10, ₹20) to avoid the hassle of loose change.

Strategy: Fix the price at a exact coin denomination and adjust the product's *quantity/weight* rather than changing the price when raw material costs rise.

Real-world Example: Parle-G has famously kept its **₹5 pack** alive for decades. Instead of raising the price to ₹6 or ₹7, they subtly decrease the number of biscuits inside the packet to manage inflation.

3. Value Engineering (No-Frills Pricing)

Concept: Lowering prices cannot mean losing money; it requires cutting down production or aesthetic costs that do not add functional value to the rural consumer.

Strategy: Remove premium features, complex designs, or expensive aesthetic packaging to pass the savings directly to the consumer.

Real-world Example: Selling electronic items without complex digital screens, or offering detergents in simple plastic bags rather than zip-lock standing pouches.

4. Seasonal Pricing & Credit Management

Concept: Rural income is directly tied to harvest cycles (Rabi and Kharif seasons). Cash flows are high during harvest times and very low during sowing seasons.

Strategy: Marketers offer flexible financing, festival discounts, or align high-ticket promotions right when farmers receive their crop payments. Furthermore, companies empower local retail (*Kirana*) shopkeepers to extend short-term credit to maintain customer loyalty.

Distribution Strategy in Rural Marketing

In rural India, physical distribution is often the biggest hurdle. Marketers have to deal with what is called "**geographic dispersion**"—thousands of tiny villages—scattered across massive distances, often connected by poor roads and lacking standard warehousing. To achieve **Availability**, companies use a mix of traditional methods and innovative modern channels.

1. The Traditional Rural Distribution Chain

Unlike the short urban supply chain (Manufacturer → Wholesaler → Retailer → Consumer), rural distribution is multi-layered. Because individual village retailers buy in incredibly small quantities, companies must rely on multiple middlemen to break down large shipments.

Manufacturer → C&F Agent (State Level) → Stockist/Distributor (District Level) → Sub-Wholesaler (Semi-Urban Market) → Village Retailer (Kirana Shop) → Rural Consumer

2. The Hub and Spoke Model

Concept: Instead of trying to send a delivery truck to every single tiny village (which is too expensive), companies use a central node to feed surrounding areas.

Strategy: A major stockist or large wholesaler is appointed at a central, semi-urban "Hub" (feeder town). Smaller retailers from the surrounding "Spoke" villages travel to this hub once or twice a week to restock their shops.



3. Leveraging Traditional Melas and Haats (Weekly Markets)

Concept: Long before modern retail existed, rural India relied on **Haats** (weekly village markets) and **Melas** (religious or seasonal fairs). These are massive gathering points where rural consumers arrive ready to buy.

Strategy: Companies set up mobile stalls, distribution vans, or temporary counters at these locations.

Real-world Significance: India has over 40,000 weekly *haats*. Buying at a haat is a social event. Fast-moving consumer goods (FMCG) brands like **Dabur**, **HUL**, and **Tata Salt** directly sell or distribute stock to local vendors right at these venues.



4. Direct-to-Consumer (D2C) Innovative Channels

When standard distribution infrastructure fails, companies build custom pipelines using local community networks.

Project Shakti (Hindustan Unilever): HUL recruits rural women, trains them as micro-entrepreneurs called *Shakti Ammas*, and provides them with inventory directly. They sell these products right out of their homes to their neighbors. This solves the final, most difficult mile of distribution where no roads or stores exist.

ITC e-Choupal: ITC set up internet-kiosks in villages run by a local farmer (*Sanchalak*). While originally built to procure crops directly from farmers, it evolved into an incredibly efficient distribution network to sell agricultural inputs (fertilizers, seeds) and consumer items back to those same farmers.

5. Mobile Van Distribution

Concept: Deep rural retail shops have low cash reserves and cannot buy months of stock in advance.

Strategy: Companies use company-owned or distributor-owned mobile vans that travel on fixed routes every week or fortnight. These vans deliver stock directly to the doorstep of small village *Kirana* shops and handle cash collection on the spot.



Sales Force Management (SFM)

Sales Force Management involves recruiting, training, motivating, and controlling the sales team tasked with penetrating rural retail networks. Marketers must structure their teams to bridge the massive cultural gap between corporate companies and traditional villagers.

1. Recruitment and Selection (Hiring the Right Profiles)

Urban sales professionals with elite corporate degrees often struggle or quit in rural setups due to tough field conditions and lifestyle differences.

The Strategy: Companies prefer hiring **Local Candidates** or "sons of the soil" from semi-urban feeder towns or large villages.

Why? Local hires already speak the regional language or dialect, understand local customs, and can easily endure traveling long distances on rural roads. They blend in naturally without making rural retailers feel intimidated.

2. Specialized Training for Rural Sales Personnel

Rural retailers (*Kirana* owners) require a completely different approach compared to urban supermarket managers. Training programs focus on specialized behavioral skills:

Relationship Orientation: Sales reps are trained to build personal trust ("*Sambandh*") rather than just pushing for immediate orders. Spending time drinking tea and discussing local crop patterns is often part of closing a sale.

Product Demonstration Skills: Rural buyers are highly skeptical of new things. Salespeople are trained to give live, visible demonstrations (e.g., showing how little detergent powder is needed to wash a cloth or demonstrating a tractor's engine capacity).

3. Designing Sales Territories and Journey Plans (PJP)

Because villages are scattered far apart, unorganized travel can drain a company's budget.



Permanent Journey Plan (PJP): Companies design a strict, pre-planned calendar for the sales force. For example, a sales rep might be assigned to visit "Route A" (covering 5 specific villages) every Monday, and "Route B" every Tuesday.

Territory Mapping: Territories are structured around **feeder town hubs** rather than just geographic sizes, ensuring the salesperson can return to a base town every evening.

4. Direct Motivation and Incentive Structures

Rural sales require immense physical labor—often riding motorcycles for 50–100 km a day under extreme weather conditions. Standard bonus structures are modified to keep morale high.

Daily & Short-Term Incentives: Instead of just annual or quarterly targets, rural sales reps are motivated via daily spot incentives (e.g., cash bonuses for adding 5 new retail shops to the network in a single day).

Non-Monetary Recognition: Publicly honoring top performers in regional dealer meetings goes a long way in building loyalty among rural sales teams.

5. Control and Evaluation (The Modern Shift)

Tracking what a salesperson is doing in deep rural pockets used to be incredibly difficult due to poor oversight. Today, companies mix traditional checks with basic technology.

Digital Tracking: Companies equip sales forces with basic smartphone apps (like HUL's internal distributor apps). Reps must log in at each retail store, punch in orders digitally, and upload photos of shop displays.

Stock Liquidation Audits: Managers evaluate sales teams not just by how much stock they dumped on the wholesaler (*Sell-In*), but by how fast the stock is moving off the village shop shelves (*Sell-Out*).

Marketing Communication

Marketing communication in rural areas aims to overcome three main barriers: **linguistic diversity** (different local dialects), **varying literacy levels**, and **low media exposure**. Marketers classify their communication channels into two main categories: **Conventional (Mass) Media** and **Non-Conventional (Rural-Specific) Media**.

1. Non-Conventional / Rural-Specific Media (Most Effective)

Because rural audiences value personal touch and visual confirmation, unconventional localized methods deliver the highest return on investment (ROI).

Wall Paintings: This is one of the most popular, cost-effective, and long-lasting mediums in rural areas. Capitalizing on low literacy, companies paint bright, highly visual ads on the walls of houses, shops, or village squares (*Choupals*).

- *Strategic Benefit:* Unlike a TV ad that vanishes in 30 seconds, a wall painting remains visible to the entire village for months or years. Brands like **Lifebuoy**, **ultra-tech cement**, and **tractors** use this extensively.

Mobile Video Vans (Audio-Visual Publicity): Vans equipped with LED screens, loudspeakers, and product samples travel from village to village. They screen popular movie clips or educational videos mixed with product commercials.

Strategic Benefit: It creates a mini-event atmosphere inside the village, drawing massive crowds for live interactions and product trials.

Puppet Shows and Folk Theatre (Nautanki/Tamasha): Using local art forms to weave a message about a product into a traditional story.

Strategic Benefit: It respects the local culture and delivers commercial messages in an entertaining, non-intrusive format that villagers easily remember.



2. Conventional Mass Media (Customized for Rural Audiences)

Standard media channels are still used, but they are adapted to fit rural consumption habits.

Television (DD Free Dish & Regional Channels): Television has high penetration in rural India, but rural viewers primarily watch regional language channels or state-run networks like Doordarshan.

Radio (All India Radio / Akashvani): Radio is an excellent audio medium for farmers who listen to it while working in agricultural fields. Programs focusing on farming tips (*Krishi Darshan* types) are heavily sponsored by fertilizer and seed brands.

Regional Print Media: English newspapers have near-zero reach in deep villages. Instead, localized language newspapers (like *Dainik Jagran*, *Bhaskar*, or *Malayala Manorama*) are read aloud in village tea stalls, creating a word-of-mouth chain.

3. Below-the-Line (BTL) & Interactive Sales Promotions

Rural consumers are highly skeptical of promises made on screen; they believe in **"Seeing is Believing."**

Free Sampling and Live Demonstrations: Direct interactions where the company shows how the product works. For instance, washing a dirty cloth with a specific detergent brand right in front of the village crowd.

Mela & Haat Stalls: Setting up interactive games at local weekly markets or religious fairs. If a consumer wins a simple game, they get a small sachet sample of the product.

Influencer Marketing (Opinion Leaders): In villages, the opinion of the Village Head (*Sarpanch*), the local school teacher, or the village doctor (*RMP*) carries immense weight. If a company convinces these opinion leaders to use their product, the rest of the village automatically follows.